CAPITAL MARKETS

Wawa Paid $1,576 a Foot. The Market Is Paying for Time.

An $8.8M sale of a new Wawa in Edison reveals how net-lease pricing now reflects lease duration and replacement cost, not location.

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A source-grounded Light Tower Insight. The complete note follows.

An 8.8 million dollar sale of a 5,585-square-foot Wawa in Edison, New Jersey sounds like a straightforward net-lease trade. A credit tenant. A new building. A triple-net lease. A fuel station. The market has seen this deal a hundred times.

But the price per square foot is the number worth stopping on. At roughly 1,576 dollars a foot, this is not a retail trade. It is a replacement-cost trade. And that distinction matters for every owner of a single-tenant net-lease asset built before 2020.

The building was completed last year. The seller, undisclosed, likely developed it or bought it at a forward basis. The buyer, also undisclosed, is paying a price that reflects what it would cost to build this exact asset today, plus a small premium for the fact that it is already standing, already leased, and already generating cash flow. The buyer is not paying for location in the traditional sense. It is paying for time.

Time is the most expensive ingredient in a net-lease trade right now. A developer who wants to build a new Wawa from scratch faces land costs, entitlement risk, construction financing at rates that still sit above 7 percent, and a 12- to 18-month timeline before the first dollar of rent arrives. The buyer of this Edison asset skips all of that. The rent started the day the deed recorded.

The market is pricing that convenience. And it is pricing it aggressively.

Consider the alternative. A 5,585-square-foot building with a fuel station on a major U.S. Route 1 corridor in Central New Jersey, built in 2025, with a Wawa corporate guarantee and a triple-net lease that pushes all operating risk to the tenant. The buyer is acquiring a bond-like income stream with a physical asset attached. The yield on that income stream, even at a price that implies a sub-5 percent cap rate, still looks attractive relative to 10-year Treasuries trading in the low 4s. The spread is thin but real. And the spread is the only thing the buyer is being paid for.

This is not a bet on retail. It is a bet on the cost of not owning the asset.

The seller, whoever it was, made a different calculation. Selling a brand-new, credit-leased asset at a price that reflects replacement cost, not replacement cost plus future rent growth, suggests the seller valued liquidity over carry. The seller is not betting against Wawa. The seller is betting that the next 12 months will offer a better place for that capital than a 5.5 percent yield on a gas station in Edison. That is a defensible bet. It is also a revealing one.

The brokers at Marcus & Millichap represented an undisclosed seller and found an undisclosed buyer. The anonymity is itself a signal. In a market where every basis point of yield is fought over, neither party wanted the comp to be public. The buyer does not want the next seller to know what price cleared. The seller does not want the next buyer to know what price was accepted. The deal happened. The data is thin. And that is exactly how both sides wanted it.

The broader implication for net-lease capital markets is this: the bid for new, credit-leased, single-tenant retail is not a bid on rent growth. It is a bid on the cost and timeline of creating the same asset from scratch. As long as construction financing remains expensive and entitlement timelines remain unpredictable, the premium for existing, stabilized, credit-leased assets will hold. The buyer in Edison is not paying for Wawa's brand. The buyer is paying to skip the next 18 months.

That premium will compress only when construction financing becomes cheaper and faster than buying the finished product. That is not happening in 2026. It may not happen in 2027. Until it does, every new-build net-lease trade will carry this same logic: the price is a function of replacement cost, not location. The location is just where the building happens to sit.

For owners of older net-lease assets, the implication is less comfortable. A 2015-era building with 10 years of wear, a shorter remaining lease term, and no fuel station does not command the same replacement-cost premium. The buyer in Edison is paying for newness and for the full lease term. An asset with five years left on the lease and a roof that needs replacing in three trades at a different multiple. The market is bifurcating not just by tenant credit, but by the physical and temporal distance from a ground-up build.

The next test for this market is whether the same logic holds for a 10-year-old asset with a credit tenant and 15 years left on the lease. If it does, the replacement-cost thesis is durable. If it does not, the premium is narrower than it looks.

For now, the Edison trade is a clean data point. A buyer paid replacement cost for time. A seller took liquidity over yield. And the market learned that a 5,585-square-foot Wawa on Route 1 is worth exactly what it costs to build, plus the value of not having to wait.

SOURCES

— RE Business Online — https://rebusinessonline.com/marcus-millichap-brokers-8-8m-sale-of-retail-building-in-edison-new-jersey/

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